



Product and Sales Guide
Value Funeral Plans
(Category A)

Financial Planning

Investments

Insurance

Retirement

Wealth



Contents

Welcome.....	3
Introduction	5
Background.....	5
Section 1: Product Overview	6
Section 2: Value Funeral Plan.....	7
Section 3: How the Value Funeral Plan works.....	9
3.1 Plan structure	9
3.2 Premiums	9
3.3 Maximum number of lives assured	9
3.4 Cover amount.....	12
3.5 Plans and Cover Amounts	12
3.6 Cover entry ages	12
3.7 Cover end ages	13
3.8 When does the policy and cover start?	13
3.9 When does the policy end?	13
3.10 Cessions and Loans	13
3.11 Cooling Off Period	14
3.12 Definitions.....	14
Section 4: How to sell the features of the Value Funeral Plan	16
4.1 Funeral Cover.....	16
4.2 Premium Paid-up.....	19
4.3 Escalations	23
4.4 Policy/Premium Break	26
Section 5: General	28
5.1 Exclusions	28
5.2 Residence, Travel and Occupation.....	28
5.3 Review of Premiums.....	29
5.4 Maximum Cover	29
5.5 Alterations	31



5.6	Policyholder Disclosures.....	32
5.7	Claims settlement.....	32
Section 6: Appendix.....		34
Appendix A: Product Definitions		34
Section 7: Skills Practice.....		38
Section 8: Frequently Asked Questions		60



Welcome

Purpose

This guide will help you to:

- ⊗ Demonstrate understanding of the **Sanlam Value Funeral Plan**
- ⊗ Identify the policy features associated with **Sanlam Value Funeral Plan**
- ⊗ Explain the key selling points of the product
- ⊗ Prompt the client with questions that will direct them to the key features on the product.

Target Audience

The target audience for this learning intervention includes:

- ⊗ Sales advisers (those who sell the product)

What is the objective?

By the end of this course you should be able to:

- ⊗ Explain how the product is structured
- ⊗ Explain the product features in detail
- ⊗ Explain how each life is covered on the product
- ⊗ Demonstrate the ability to apply best sales practices when selling the product
- ⊗ Apply the product's pricing structure to determine premiums
- ⊗ Explain the claim conditions for this product



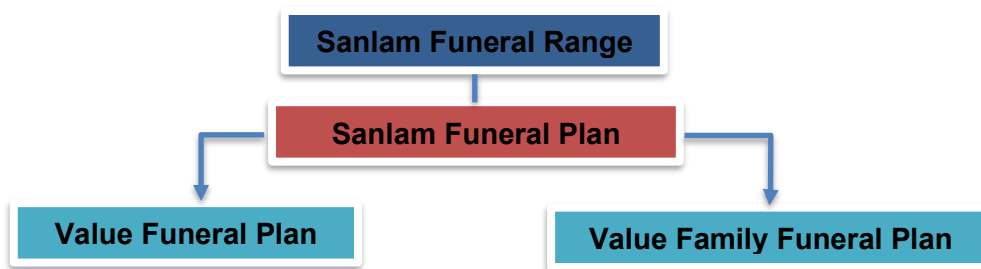
Activity icons

	Classroom activity When you need to participate in a classroom activity.
	Examples This icon indicates examples relevant to the section.
	Own notes Shows that there is space for your notes.
	Individual reflection This space is for you to record your learning.
	Hints Indicates hints, things to remember and important information
	Selling points Indicates selling points on each of the features



Introduction

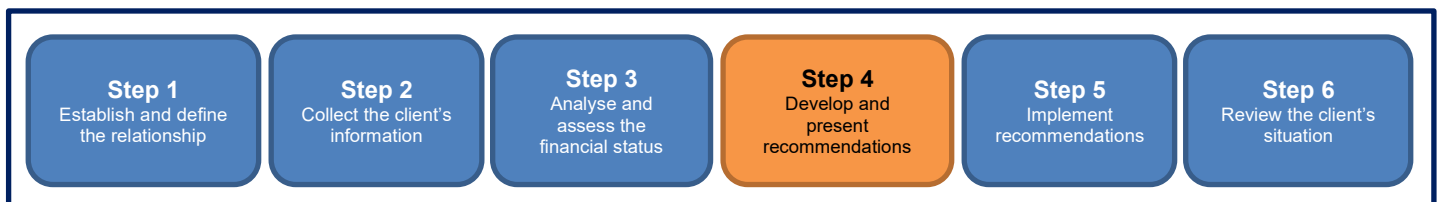
The **Sanlam Funeral range** has various exciting features that are available depending on the needs of the client. Giving advice as a Sanlam financial adviser is a career, should be embarked on if such adviser is competent, and has measures in place to keep abreast of the developments and products of the **Sanlam Funeral range**. Certain business rules have been put into place in order to manage Sanlam's risk of potential inappropriate advice given to our clients. The picture below depicts the structure of Sanlam Funeral range.



Background

Before you get into a conversation with the client about the product, it is assumed that you will be on **step 4** of the 6 steps of financial planning as depicted in the picture below.

The 6 steps of financial planning



It is important to note that a personal brand attracts clients who will trust you as a financial adviser to give the best possible advice with their hard-earned money. This means building a relationship with your client and analysing your clients' needs is important in our business. Knowing your client is important for our business; therefore building a relationship with the client is key.



Section 1: Product Overview

Learning objectives

By the end of this section, you will be able to:

- ④ *Explain the importance of having funeral cover.*
- ④ *List the advantages of having a funeral plan.*

Talking of funerals is never a pleasant topic but let's admit it, they are a part of life. It is our responsibility to advise our clients on making the important decision of covering themselves and their loved ones financially should a death occur. Taking up funeral cover eases the stress of the financial burden that comes with unforeseen funeral expenses.

The following are some of the advantages of them having a funeral plan:

- ④ It helps cover related funeral expenses.
- ④ Quick payout of claims.
- ④ No financial burden of paying for the funeral.
- ④ Cover that gives financial ease to those left behind.
- ④ A dignified send-off.

In this course, we will cover the Value Funeral product. This is a Sanlam funeral product, which stands head and shoulders above other products in the market that must be marketed and sold by the financial advisers. With this product, Sanlam attempts to make this policy as simple as possible and to comply with the industry regulations.

In the following section, we will take a closer look at the Value Funeral Plan.

Throughout the course, we will be mentioning keywords like Client, Policyholder, Life assured, etc. For definitions to these terms please refer to **Appendix A** in **Section 6**.



Section 2: Value Funeral Plan

Learning objectives

By the end of this section, you will be able to:

- *List the advantages of having the Value Funeral Plan*

Why choose the Value Funeral Plan?

As we discussed in the previous section, having a funeral plan is very important. While a funeral plan can never ease the pain that comes with the loss of a loved one, it can help to make the path ahead just that much easier. With the Value Funeral Plan, our clients will be choosing a funeral plan that does just that.

Most valid claims get paid within 4 hours, saving them time when they need it the most.

The Value Funeral Plan allows individuals to choose a funeral package and features that suit their needs and budget.

The Value Funeral Plan provides individual cover for:

- the policyholder,
- the spouse,
- children,
- parents
- wider family members.

There are more reasons why the client should choose the Value Funeral Plan. Mentioned below are some of them:

- Minimum premium payment of R80 a month.
- Premiums stop when the life assured reaches a certain age and have paid premiums for at least 15 years.
- The Principal Life Assured can have up to R100 000 cover for themselves and their spouse.
- A policyholder may have more than one policy with the same insurer.
- Clients can purchase as many policies as they want and can claim on all of them, provided cover per life in each policy will be limited to the maximum that life type can purchase in that plan.
- Children are covered for life including adopted children.



- Cover for up to 22 people on the policy.
- Entry age limit of 85 years for parents and wider family.
- Accidental cover starts from the day after the policy is accepted

To aid you on how to sell the features of the plans we have put together selling points after each of the features that will be covered.

Watch out for the icon



in the guide.

Note: The selling points in this guide are **examples** only. Your own individual selling style can be used to customise these questions.



Section 3: How the Value Funeral Plan works

Learning objectives

By the end of this section, you will be able to:

- ④ List the features of the product
- ④ Identify the cover amounts
- ④ Explain who can be covered on the policy
- ④ State the minimum and maximum entry ages
- ④ Discuss how premiums work

Key features of the product

3.1 Plan structure

The table below shows the features included on the product:

Features	Value Funeral Plan
Funeral Cover	✓
Premium Paid-up	✓
Escalations	✓
Policy/Premium Break	✓

3.2 Premiums

- ④ Each policy has a separate premium per life type covered, depending on the age at entry, cover level.
- ④ The minimum risk premium is R80 per month on the policy.

3.3 Maximum number of lives assured

Life Assured Categories	Maximum lives allowed
Principal Life Assured	1
Spouse	1 claim over the life of the policy
Child	8 at any one time
Parent	4 at any one time
Wider Family	8 at any one time

The Principal Life Assured, policyholder and premium payer must all be the **same** person and must be a natural person.



Knowledge Check – 1



Classroom Activity

Let us take a closer look at the lives assured than can be covered under the Value Funeral Plan.

Read the scenario and then draw an illustration that represents the relationships in the space provided. Then answer the question relating to the scenario by placing a

☒ on either the “**YES**” or “**NO**” options.

Remember to refer to **Appendix A** when working through this section.

Scenario 1:

- ⤵ Samuel is the policyholder.
- ⤵ Lisa is the spouse.
- ⤵ Lisa's mother's sister's child, Becky is Lisa's first cousin.

Draw an illustration based on the scenario above.

Question: If Lisa has a child, can this child be covered on the policy?

Yes

No

**Scenario 2:**

- ⤵ Jabu is the policyholder.
- ⤵ Ntombi is the spouse.
- ⤵ Ntombi's mother's sister's child Zanele, is Ntombi's first cousin.
- ⤵ Zanele has a child named Mongezi and Mongezi has a child named Thato.

Draw an illustration based on the scenario above.

Question: Can Thato be covered on the policy?

Yes

No

Scenario 3:

- ⤵ Patricia is the policyholder.
- ⤵ Mike is the spouse.
- ⤵ Mike's brother and sister-in-law recently had a baby, Martha.

Draw an illustration based on the scenario above.

Question: Can Martha be covered on the policy?

Yes

No



3.4 Cover amount

- ⌚ This is the initial cover amount selected.
- ⌚ The cover amount limit that any life assured can have in terms of this policy (including escalations) is **R100 000**

3.5 Plans and Cover Amounts

The maximum cover amount that any one life assured can have in terms of this policy is as follows:

Principal Life Assured and Spouse covered in terms of the spouse category

- ⌚ The minimum cover amount is **R5 000** and the maximum cover amount is **R100 000**.

Children

- ⌚ The minimum cover amount is **R5 000** and the;
 - Maximum for a child before they attain the age of six (6) years is **R20 000** per insured per policy
 - Maximum for a child after they attain the age of six (6) years but before they attain the age of fourteen (14) years is **R50 000** per insured per policy
 - Maximum for a child of fourteen (14) years and over is **R60 000** per insured per policy.

Parent and Wider Family

- ⌚ The minimum cover amount is **R5 000** and the maximum cover amount is **R50 000**.

3.6 Cover entry ages

The following table shows what date is used for the calculation of entry age for the different policyholder requests. This is based on actual ages.

Policyholder action	Date used for calculation of entry age
New policy (includes scenario where Spouse is nominated at application stage)	⌚ Signature date of application form.
Increase in cover	⌚ First of the month in which the new premium is expected to be received.
Addition of new life	⌚ First of the month in which the new premium is expected to be received



The table below shows the minimum and maximum ages when:

- ⦿ a new policy is taken;
- ⦿ an increase in cover is requested; or
- ⦿ a new life assured is added to the policy.

Life types	Minimum	Maximum
Principal Life Assured	18	74
Spouse	18	64
Child	0	25
Parent	26	85
Wider Family member	0	85

3.7 Cover end ages

The Value Funeral Plan is a whole of life policy. Cover is for the person's whole life as long as premiums are being paid, unless the policy is in a paid-up status on which case no premiums will be payable for the given cover.

3.8 When does the policy and cover start?

New policy	⦿ The day after the <i>acceptance date</i> . The <i>acceptance date</i> is shown on the policy schedule
Increase in cover	⦿ The first (1 st) day of the month in which the new premium becomes payable as indicated on the policy schedule.
Addition of a new life assured	⦿ The first (1 st) day of the month in which the new premium becomes payable as indicated on the policy schedule.

3.9 When does the policy end?

The policy will end on the first of:

- ⦿ When the policy is cancelled by us
- ⦿ When the policy lapses due to non-payment of the premiums;
- ⦿ When the last life assured covered on the policy dies;
- ⦿ When the policyholder submits a written request for cancellation;
- ⦿ On the death of the policyholder;
- ⦿ In the event that there is evidence of, or attempted submission of a fictional claim, fraud or a misrepresentation that is material to the assessment of the risk, we may elect to terminate the policy with immediate effect and declare all premiums paid as lost.

3.10 Cessions and Loans

- ⦿ Cessions and loans are not allowed on this policy.



3.11 Cooling Off Period

- ⌚ The policyholder has the right to cancel the policy within **60 days** from the date of signature of the policy and receive all premiums paid, provided that no benefit has yet been paid or claimed or an insured event occurred. This means that should the policyholder not want their policy after it has been accepted on the new business system, the policy can be “cancelled” provided it is within the 60 days from signature date.
- ⌚ The policyholder can cancel their policy after 60 days from the signature date but no premiums will be refunded as it is after the Cooling Off Period.

3.12 Definitions

- ⌚ All definitions related to this product are included as **Appendix A** in **Section 6**.



Knowledge Check – 2



Classroom Activity

Let us check how well you have grasped what has been covered so far.

Complete the activity below by **circling** the correct answer.

1. Select the minimum and maximum cover amount that is applicable to the Principal Life Assured and spouse.
 - a. R5 000 and R100 000
 - b. R5 000 and R30 000
2. Select the minimum and maximum cover amount that is applicable to Parents.
 - a. R5 000 and R50 000
 - b. R5 000 and R30 000
3. Select the statement that is **correct**.
 - a. The Principal Life Assured, policyholder and premium payer can be different on the policy.
 - b. Only 1 spouse claim will be paid over the life of the policy.
 - c. There can be 5 children, 6 parents and 8 wider family members covered at any one time.
4. Select the correct minimum and maximum cover ages.
 - a. Principal Life Assured 18 - 74
 - b. Spouse 18 - 65
 - c. Child 0 – 18
5. Parents and wider family can be covered up to a maximum amount of R80 000.
 - a. True
 - b. False



Section 4: How to sell the features of the Value Funeral Plan

Learning objectives

By the end of this section, you will be able to:

- ⌚ Explain the features of the Value Funeral Plan
- ⌚ Explain the selling points of each of the features

In this section we will cover all of the features and benefits of the Value Funeral Plan.

Features of the Product

4.1 Funeral Cover

What does this benefit do?	It covers the life assured in the event of death and pays the cover amount.
Who can be covered?	⌚ Principal Life Assured; ⌚ Spouse; ⌚ Child; ⌚ Parents; or ⌚ Wider family members.
When can this be claimed?	⌚ When a life assured dies.
Qualifying period	⌚ Non-accidental causes – 6 months ⌚ Accidental causes – immediately from cover start date ⌚ Suicide – 6 months
When does cover end?	⌚ When the policy ends; ⌚ When the life assured is removed from the policy; ⌚ When the life assured dies.
How much does the benefit pay?	⌚ It pays the cover amount based on the cover level selected. ⌚ Funeral Cover for children is subject to legal maximums. (See Section 5.4 for more detail).



Other	Stillbirth benefit: ⤵ This benefit pays R1 000 on the birth of a stillborn child if: • The stillborn child was born to either the policyholder or the spouse of the policyholder. • The mother of the stillborn baby must be covered as the principal life assured or spouse on the policy. This benefit is extended to 6 months after birth for a non-accidental death. ⤵ The policyholder must add the child to the policy as soon as possible. ⤵ A qualifying period of 6 months for natural causes will apply to a new child added, but during this period the 6 months stillbirth benefit applies. If the child has been added to the policy and dies as a result of an accident within the 6-month qualifying period, the claim will be for the accident cover on the child's cover and the stillbirth benefit would not be payable; that is, they cannot both be paid. ⤵ If the child is not on the policy and dies in an accident then no benefit will be paid. A "birth" before 28 weeks gestation is regarded as a miscarriage and is not covered by the stillbirth benefit.
---------------------	---



Do you have funeral cover for when you or your loved ones die? Is it enough to cover the cost of the funeral? At Sanlam we pay most funeral claims within **4 hours** and make every effort to make sure that you have your money when you need it the most. Getting your money paid out quickly matters.

Let's look at some selling tips that you could use to close the sale.

Mrs Mthembu says that her husband has a funeral policy that covers her and her family so she doesn't need more funeral cover.



What are the questions you can ask to show the need for funeral cover?

1. How much are you covered for on your husband's policy and is it enough?
 2. If your husband's policy lapses and you are no longer covered, how will you cover the funeral cost if someone in your family had to die?
 3. Do you know that you can choose a cover level from R5 000 up to R100 000 for you and your spouse?
 4. Do you know you can choose cover from R5 000 up to R60 000 for your children?
 5. Do you know that you can also choose cover from R5 000 up to R50 000 for your wider family?
 6. I am sure you want to honour your parents, so wouldn't it be good to be able to cover them for up to R50 000?
 7. Do you know that you can choose the minimum cover level of R5 000?
- Do you know that not everyone on the policy needs to take the same cover level?

Selling points of the funeral cover:

- ⊗ On the Value Funeral Plan there are no medical questions or medical tests required.
- ⊗ You can have a dignified burial and so can any other family member, whom you have chosen to cover.
- ⊗ You and the other lives that you have added are covered for accidental death the day after your policy is accepted. There is no qualifying period.
- ⊗ We can reduce the length of time of the qualifying period by the amount of time served at the other insurer. Provided all conditions are met.
- ⊗ Funeral Cover can help cover some of the costs associated with:
 - catering for visitors before the funeral
 - purchasing of cows or sheep for cultural ceremonies
 - the hiring of buses for transporting the mourners to the funeral
- ⊗ We understand that when planning an honourable send-off for a loved one, every hour matters. This is why the Value Funeral Plan pays out most claims within 4 hours.
- ⊗ The Value Funeral Plan allows you and your family to choose the amount of cover and benefits you need in line with what you can afford.

In summary, here are the important selling points of funeral cover

Claims paid within 4 hours	Cover for Principal Life Assured spouse, children, parents and wider family members
Funeral Cover from start date	
No qualifying period if death is accidental	Up to R100 000 cover for the policyholder



4.2 Premium Paid-up

What does this do?	It covers the premium for a particular life assured when they reach a certain age.
Who can be covered?	This feature of the product applies to all lives assured.
What must happen to have this feature start?	The life assured must have turned 75 if the life assured is the: - Principal Life Assured; - Spouse; or - Child. The life assured must have turned 85 if the life assured is the: - Parent; or - Wider family member (this will include children in this category). Premiums for each life assured must have been paid for at least 15 years.
How much does it pay?	It does not pay out money but covers the premiums for the life assured.
When does it end?	- When the policy ends. - When the policy is cancelled.
Other	At the end of the premium paying term per life assured: - Cover escalations will end - No alterations will be allowed - No cover increases will be allowed on a life within the 5 years before the premium paid-up status is meant to kick in on that life. - Escalations can change up to the point premiums stop.
When this feature is in operation the following will stop:	Escalations



Mr Sindane the Principal Life Assured and his spouse Mrs Sindane will turn 75 years old in June and September respectively of the same year.

Mr Sindane has also covered his mother Mrs Mbatha on the policy. She will be turning 90 years old in December of the same year.

They have all been covered on the policy for 15 years.

- ④ At the end of June, no further funeral premium will be required for Mr Sindane but he will still be covered on the policy, for benefits that have a cover amount. The overall policy premium will reduce by the funeral premium being paid for Mr Sindane.
- ④ At the end of September, no further funeral premium will be required for Mrs Sindane but she will still be covered on the policy, for benefits that have a cover amount. The overall policy premium will reduce by the funeral premium being paid for Mrs Sindane.
- ④ At the end of December, no further funeral premium will be required for Mrs Mbatha but she will still be covered on the policy, for benefits that have a cover amount. The overall policy premium will reduce by the funeral premium being paid for Mrs Mbatha.
- ④ As there are no longer any benefits where there are premiums being paid, the policy will then move into a “Premium Paid Up” status where the lives assured are still covered on the policy without having to pay in any premiums.



Would it benefit you to not have to pay premiums but still enjoy benefits on the policy when you get older? Would it be assuring to know that you don't have to worry about your Funeral Plan premium when you are no longer earning an income?

On the Value Funeral Plan this is exactly what would happen after paying premiums for a certain period.

Let's look at some selling tips that you could use to close the sale.

Mrs Peters cannot believe that Sanlam would not need premiums from her after she has reached a certain age. What is the catch she asks?

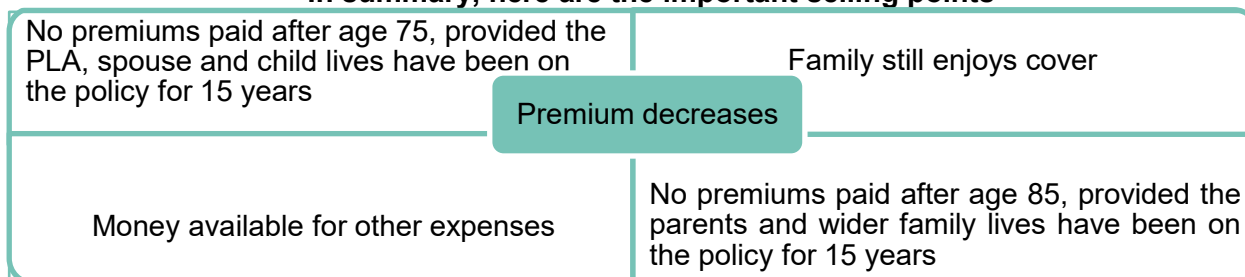
What are the questions you can ask to show the need for the premium paid-up feature?

1. When you reach the age of 75 would you be able to afford paying premiums on your policy?
2. Would it be helpful if you could enjoy the benefits on your policy when you reach the age of 75 without having to pay in premiums, provided you have paid for at least 15 years?
3. Do you know that when your spouse or children reach the age of 75, that they will still be covered on the policy but do not have to pay in premiums, provided that they have been covered on the policy for at least 15 years?
4. Do you know that when your parents or wider family members reach the age of 85 that they will still be covered on the policy but do not have to pay in premiums, provided that they have been covered on the policy for at least 15 years?

Selling points:

- ⦿ When you have paid premiums for 15 years for you, your spouse or your children and if they have reached the age of 75, Sanlam will no longer require any premiums for them.
- ⦿ When you have paid premiums for 15 years for your parents or wider family members and if they have reached the age of 85, Sanlam will no longer require any premiums for them.
- ⦿ The lives assured covered on the policy to which the benefit applies will still be covered even though no premiums are being paid for them.
- ⦿ The money that you save on the premiums that you are no longer paying can be used for other expenses that you may have.

In summary, here are the important selling points





Knowledge Check – 3



Classroom Activity

Let us check how well you have grasped the benefits covered so far.

In this activity you are required to answer a set of questions relating to a specific benefit.

Complete the activity below by **filling** in the blanks.

Funeral Cover

1. There is a 6 month qualifying period for _____ - _____ causes of death.
2. The Stillbirth benefit is applicable to the _____ or the _____ of the policyholder if they are covered on the policy.

Premium Paid-up

1. In order to qualify for this policy feature, premiums must have been paid for _____.
2. In order to qualify for this, the Principal Life Assured, spouse and child must be _____ old.



4.3 Escalations

What does this policy feature do?	It protects the benefits that pay out a cover amount against the rising cost of living by increasing the premium and the cover amount each year by the selected percentage.
What is covered?	Benefits that have a cover amount such as Funeral Cover
Rates available	5% or 10% (of the premium) 5% is the default if a rate is not chosen by the client.
Optional or Compulsory	Compulsory at start but can be cancelled.
How does it work?	Each year on the anniversary of the policy issue date: - The monthly premiums will increase by the chosen premium escalation rate of the monthly premium paid in the previous year. - For a premium increase of 5%, the cover will escalate by 4%. - For a premium increase of 10%, the cover will escalate by 8%. - The cover selected will increase by 80% of the premium escalation times the benefit cover level of the previous year. Both premium and cover escalate on a compound basis at their relevant rates. Stop Order: - If Sanlam does not receive the increased premium within three months of the increase becoming due, then the escalation will be stopped for that policy year, and the cover amount will remain at its existing level. - Any valid claim during this three-month period will be based on the increased cover amount resulting from the escalation (assuming it was payable). - The increase in the premium owing will be deducted from the claim amount paid. - If the increase in premium was not received in the three-month period, the escalation will operate again at the next policy issue date anniversary. - The escalation percentage can be changed. - The client may ask that the premium not be increased in a particular year, but the escalations will continue after that.
When does cover end?	- Escalations can be cancelled at any time by the policyholder by giving notice to Sanlam. - Once cancelled, it may be started again by giving notice to Sanlam.
How the funeral cover limit works with this policy feature:	- The cover limit per life assured per policyholder, over the age of 14 is R100,000 - If the escalations will stop working for that life assured when the cover reaches the R100,000 limit. The escalations will not operate again on that life.
Postponement	The client can request for a postponement of their escalation in a year. This means that they can contact us to request that we do not call for the higher premium for a year, but that it will operate again



	from the following year. This request must be made within 3 months of the escalation being applied.
--	---



The rising cost of living affects the value of your money. What you could buy ten years ago for R10 would probably cost you a lot more today. The Escalation on your policy helps you with planning ahead so that you have enough money when you need it the most.

Let's look at some selling tips that you could use to close the sale.

Mr Gumede thinks that R15 000 Funeral Cover is enough. He feels that increasing the premium on his policy is just another way of Sanlam making more money at his expense.



What are the questions you can ask to show the need for the Escalations feature?

1. How much did a loaf of bread cost 10 years ago?
2. Do you know why the same loaf of bread costs you more today?
3. R15 000 may be enough to pay for a decent funeral today, but do you think that it will still be enough to pay for a decent funeral 5 or 10 years from now?
4. Have you made provision in the event that the funeral cost is more than R15 000?
5. Should there be a shortfall, where will you get the additional money from, to meet the cost of the funeral?
6. Would you like me to show you, what your premium and benefit would increase to, next year and the year thereafter?

Let's look at a premium of **R160** and a benefit of **R15 000** with an Escalation of **10%** and what premiums and benefits will look like in 2 to 3 years.

Year	Premium	Benefit
Year 1	R160.00	R15 000
Year 2	R172.80	R16 200
Year 3	R186.62	R17 496

7. Do you know that you can stop, change or start the Escalation again if you have previously cancelled, at any time?

Selling points:

- ④ Escalations will help keep your cover relevant. This means that you will be more likely to meet funeral costs.
- ④ If you do not select the Escalations option your funeral expense is greater than the amount paid, this could mean that your family members may need to borrow money from neighbors, banks or loan-sharks to cover the funeral expense.
- ④ Sanlam will send you notification of the escalation three months before the increase, so that you can prepare for it financially. Please make sure that Sanlam has your current postal address details at all times.
- ④ You can request that Sanlam postpones the escalation for a year and have the escalation applied on the next policy anniversary.
- ④ The Escalations feature is flexible in that you can:
 - **cancel** it if you cannot afford it;
 - **start** again if you had previously cancelled it; or
 - **change** the Escalation percentage selected.



4.4 Policy/Premium Break

What does this do?	It gives the policyholder a premium holiday for any reason should they require it.
Who is covered?	The feature only applies to the policyholder.
How does it work?	- The policyholder can apply for it to keep the policy active for up to 12 months without making any monthly premiums. Provided the policy has been in force for 24 months from the Cover Start Date. - The policyholder can restart payment at any time during the 12 months at which point the cover will be identical to that prior to the start of this benefit. - No benefits will be paid during the time this is active. - The policy break may only be used once for the duration of the policy.
Qualifying period	The policy must have been in force for 24 months from the Cover Start Date.
When does cover end?	- The feature will end on the first of: - The end of the holiday if the benefit is used or - When the policy lapses - When the last life assured covered on the policy dies - When the policyholder submits a written request for cancellation. - The cover for this feature will end: - When the policy ends or - Once it has been used.
Conditions of the policy	- No new lives can be added when the policy break feature is in operation. - No alterations in cover levels will be allowed once it is in operation.
Exclusions	The policy break feature can only be exercised once during the lifetime of the policy, irrespective of how many months it was used for.



Knowledge Check – 4



Classroom activity

Complete the activity below by matching the statements on the left to the correct feature/benefit type on the right.

A table has been provided below to fill in your answers.

- | | |
|---|------------------------------|
| 1. It protects the benefits that pay out a cover amount against the rising cost of living by increasing the premium and the cover amount each year by the selected percentage | A. Funeral Cover |
| 2. It covers the premium for a particular life assured when they reach a certain age. | B. Stillbirth benefit |
| 3. It gives the policyholder a premium holiday. | C. Escalations |
| 4. This benefit pays R1 000 on the birth of a stillborn child. | |
| 5. It covers the life assured in the event of death and pays the cover amount. | D. Premium Paid-up |

E. Policy/Premium Break

Description	Feature/benefit
1.	
2.	
3.	
4.	
5.	



Section 5: General

Learning objectives

By the end of this section, you will be able to explain:

- ④ *The exclusions relevant to the policy*
- ④ *Explain maximum Funeral Cover limits per life assured*
- ④ *Explain the legislative limits for children*
- ④ *Explain what policy alterations can be done on the policy*

5.1 Exclusions

- ④ Sanlam will not pay the cover amount if it is as a direct or indirect result of active participation in war, invasion, acts of foreign enemies, hostilities, illegal strikes, warlike operations (whether war be declared or not), civil war, rebellion, revolution, insurrection, civil commotion assuming the proportions of or amounting to an uprising or riot, military or usurped power.



Note:

Sanlam is a signatory to the ASISA Protocol – War Exclusions.

This means that Sanlam will pay the claims of members of the SANDF and SAPS who have a Value Funeral Plan and who die while engaged in peacekeeping operations.

5.2 Residence, Travel and Occupation

No cover will be provided to any life assured if living permanently in a foreign country.

The policy provides cover to South Africans or South African residents that can provide:

- ④ Proof of residency (provided by the Department of Home Affairs); or
- ④ Proof of citizenship and a copy of bar-coded ID (provided by the Department of Home Affairs for Foreigners); or
- ④ Permanent working permits with a copy of the life assured's Passport.

If any life assured leaves South Africa, it is the policyholder's responsibility to request, in writing, to end the relevant benefits.

There are no restrictions in the policy in terms of where a life assured can travel.



5.3 Review of Premiums

- ⌚ Premiums, benefits or cover are not guaranteed and may be reviewed upwards or downwards from time to time. Sanlam will provide at least 30 days written notice of such changes.

5.4 Maximum Cover

- ⌚ Maximum cover limits apply at the start of a new policy, or when additional cover is applied for.

A client may take out any number of Value Funeral plans as they need, or increase the cover limit on an existing plan, provided that:

- ⊕ a thorough financial needs analysis has been done by the adviser;
- ⌚ the financial needs analysis shows that the client can afford the policies; and
- ⌚ the need for more than one funeral policy is clearly recorded in the Record of Advice.

A policyholder cannot be covered for more than R100 000 on each policy.



For example:

Mr. Tau, has a policy with R80 000 cover. His cover escalated to R100 000. His escalation will stop when the cover amount reaches R100 000.

To avoid over-selling of funeral business, management will still be required to ensure that the client's needs are being met and can afford multiple policies.



For example:

Mr. Hugo Third takes out a Sanlam Enhanced Traditional Funeral Plan for himself with the maximum cover level of R100 000 in March. In July of the same year Mr. Hugo Third approaches his adviser to request his cover to be increased from R100 000 to R200 000 on his existing policy.

His adviser, Mr. Marathon, explained to Mr. Hugo Third that he cannot increase the cover on his existing policy as the maximum allowed per policy is R100 000, however, he can take out a new policy for R100 000 to make up the R200 000.

Children limits are regulated and must be adhered to at all times.



In terms of the policy, the cover per assured life is as follows:

- ⌚ Children aged 14 years and above, may not exceed R100 000 **per policy**
- ⌚ Children aged 6, but before attaining the age of 14 years, will be limited to a maximum of R50 000 **per policy**
- ⌚ Children below 6 years of age, will be limited to a maximum of R20 000 **per policy**.



Important note

- ⌚ **Double Accident:** If the child cover on the policy reaches the maximum amounts above, we will restrict the amount we pay out to the maximum allowable amount.
- ⌚ **Escalations:** Where the legislative limits have been reached, escalations will stop for that child.
- ⌚ **Refunds:** Premiums for a child who exceeded the maximum legal cover level will be refunded at claim stage.



Important note

To help Sanlam comply with the law and support our efforts to treat customer fairly from policy inception, if the policyholder has the **full ID number of the children that are being covered** on the policy available at new business stage. It is preferable to submit and capture the full ID number for all children being covered on the policy



For example:

Mr. Hugo has a 2-year old child called Anna. Mr. Hugo would like to take out the maximum allowable cover for Anna. Anna will therefore be covered for R20 000 for her age.

Anna will not have any escalations on her cover as she has reached the maximum allowable amount of R20 000 that Sanlam may pay out for her. Mr. Hugo may also not take out another funeral policy on Anna's life.

A few years after Mr. Hugo took out the policy, Anna was playing in the street and was run over by a car and passed away. At the time of her death, Anna was 5 years old. Sanlam will only pay out R20 000 on Anna's life due to these legislative limits.



5.5 Alterations

Change of policyholder	⌚ Not allowed
Change of principal life assured	⌚ Can't be changed but can be removed.
Change of premium payer	⌚ Not allowed
Change of premium term	⌚ Not applicable, as this is whole of life
Change in escalations	⌚ Allowed to cancel, increase or decrease the escalation percentage. ⌚ The escalation can be started again after it has been stopped. ⌚ Escalations can be declined by the client for the year in question and restarted again.
Changing sum assured	⌚ Where the policyholder wishes to change the cover to a new level on a product which offers various cover levels, the cover for that life will be increased to the new plan level offered under the product, and the premium to be changed will be that applicable for that level of cover at the current age of that life assured. ⌚ A qualifying period will apply for the increase in cover from the cover start date of the additional cover. ⌚ This is subject to all product rules. ⌚ This is also subject to the legal maximum levels.
Adding of lives	⌚ Additional lives may be added provided this does not exceed the maximum lives / claims permitted. ⌚ The addition of lives on a policy is subject to all product rules.
Removing lives	⌚ The policyholder can remove lives assured at any time during the life of the policy, subject to any limitations on the product. ⌚ If the policyholder removes the life assured who holds minimum funeral cover amount, the policy will have to be cancelled because the minimum funeral cover and minimum total cover will not exist anymore.
Increasing Savings Benefit premium	⌚ The savings premiums can be increased to any level but, be aware that a premium equal to or greater than R2 000 per month (due to premium escalations or ad-hoc requested increases) will require FICA regulations to be applied.
Decreasing Savings Benefit premium	⌚ The savings premium can be decreased to a minimum prescribed premium of R10.
Changing the term of the Savings Benefit	⌚ Yes, can be allowed. ⌚ The savings benefit term must be between 5 and 15 years.
Restarting the Savings Benefit	⌚ If the Savings Benefit is cancelled it can be restarted. We allow only 1 savings component to be active at any one time. ⌚ If the policy is reinstated the Savings Benefit can be reinstated.
Change beneficiaries	⌚ The beneficiaries can be changed by the policyholder by request at any time.



Decreasing Funeral Cover Amount	⌚ There is no limit on decreasing the premiums and cover for any life assured, however, 1 life assured must maintain the minimum total cover amount. Their cover cannot be decreased below the threshold. ⌚ Should the policyholder choose to decrease their premium and it results in the funeral cover amount falling below the threshold, they will not be allowed to keep the policy and will need to cancel it, as it does not meet the required threshold minimum cover amount.
---------------------------------	--

5.6 Policyholder Disclosures

- ⌚ The Policyholder Disclosure is included in the application form booklet and provides important information that the client should know. Remember to familiarise yourself with the disclosures.

5.7 Claims settlement

An insurer must within two business days after all required documentation in respect of the claim has been received, assess and decide whether or not the claim submitted is valid and the insurer must authorise payment / repudiate / dispute the claim by notifying the claimant. Sanlam pays out most valid funeral claims within **4 hours** once all necessary documents have been received and the claim has been assessed and approved. This is part of Sanlam's promise to the client to pay within 4 hours.

If we are unable to settle the claim within the required 2 days, we must inform the claimant of the delay and why there is a delay.

**For example:**

Mrs. Litle Woryd has a Value Funeral Plan with Sanlam, unfortunately the child covered on the policy died. She contacted Sanlam on the Monday at 09:00 to put in a claim. She was advised of the required documents. At 09:30 she submitted all the required documents. By 12:20 Mrs. Litle Woryd's claim was paid into her account.

This meets the requirements that must be met on this funeral policy in terms of the Policyholder Protection Rules.



Section 6: Appendix

Appendix A: Product Definitions

Client	A person using services of other professional people or organisations.
Policyholder	The policyholder is the person who enters into this policy. The Policyholder on this policy must be a natural person.
Premium payer	The premium payer must be the policyholder. Any premium refunds or premium repayments will be made to the <i>premium payer</i> .
Principal Life Assured	The principal life assured on the policy is the policyholder if they have applied for, and received funeral cover in terms of this policy. The principal life assured must be over the minimum age limitation and under the maximum age limitations as specified in this policy. If the client did not apply for funeral cover for themselves and only for other lives assured, then there will be no principal life assured for this policy
Life assured	Any life that is <i>covered</i> on this policy and who is shown in the policy schedule to be a <i>life assured</i> . This could include the policy holder, their spouse, child(ren), parent(s) and wider family member(s) that meet the definitions in this policy.
Married	Sanlam considers a marriage to be when two people are: ⊗ Married according to the laws of any sovereign country; ⊗ Married according to customary or tribal law; ⊗ Married under any religion that is practiced in South Africa; ⊗ Living together and financially dependent on one another for at least 6 months; or ⊗ Party to a civil union in terms of the Civil Union Act, 2006.
Spouse	Sanlam considers a spouse to be ⊗ Permanent life partner(s) who are financially dependent on each other for at least six (6) months. ⊗ A spouse or civil union partner in accordance with: ⊗ The Marriages Act, 68 of 1961 ⊗ The Recognition of Customary Marriages Act, 68 of 1997 ⊗ Civil Union Act, 17 of 2006; or ⊗ The tenets of a religion.
Child	⊗ A biological child, legally adopted child, stepchild of the policyholder or their spouse, or a child where the policyholder (or their spouse) are the legal guardian(s). ⊗ A person must qualify as a child at the date when cover is applied for such person in terms of this policy.
Parent	⊗ Means the person(s) who are the biological parents, parents-in-law, adoptive parents, legal guardians and stepparents of the policyholder or their spouse.



	⊗ A person must qualify as a parent at the date when cover is applied for such person in terms of this policy.
Wider Family	The following people will qualify as <i>wider family members</i> as a result of their relationships to the policyholder: ⊗ Additional <i>spouse(s)</i> who are not <i>covered</i> in terms of the <i>spouse category</i>. ⊗ Additional <i>parents</i> who are not <i>covered</i> in terms of the <i>parent category</i>. ⊗ Additional <i>child</i> or <i>children</i> who are not <i>covered</i> in terms of the <i>child category</i>. ⊗ Great Grandparent who is <i>your parents'</i> grandparents. ⊗ Grandparent who is <i>your parents'</i> parents. ⊗ Aunt who is the sister of <i>your parents</i>, or her <i>spouse</i>. ⊗ Uncle who is the brother of <i>your parents</i>, or his <i>spouse</i>. ⊗ Brother who is <i>your parent's</i> male child. ⊗ Sister who is <i>your parent's</i> female child. ⊗ Brother-in-law is the male <i>spouse</i> to the child of <i>your parents</i>. ⊗ Sister-in-law is the female <i>spouse</i> to the child of <i>your parents</i>. ⊗ First cousin who is the child of <i>your aunt</i> or <i>uncle</i> as defined above. ⊗ Son-in-law, the male <i>spouse</i> of <i>your child</i>. ⊗ Daughter-in-law, the female the <i>spouse</i> of <i>your child</i>. ⊗ Nephew is the male <i>child</i> of <i>your</i> brother or sister. ⊗ Niece is the female <i>child</i> of <i>your</i> brother or sister. ⊗ First cousin's child who is the child of <i>your first cousin</i> ⊗ Grandchild who is <i>your child's</i> child. ⊗ Great Grandchild who is <i>your grandchild's child</i> Relationships to your spouse: ⊗ Aunt ⊗ Grand parents-in-law are the <i>parents</i> of <i>your spouse's parents</i>. ⊗ Great grand parents-in-law are the grandparents of <i>your spouse's parents</i>. ⊗ Aunt who is the sister of <i>your spouse's parents</i>, or her <i>spouse</i>. ⊗ Uncle who is the brother of <i>your spouse's parents</i>, or his <i>spouse</i>. ⊗ Brother who is <i>your spouse's parent's</i> male child. ⊗ Sister who is <i>your spouse's parent's</i> female child. ⊗ Brother-in-law is the male <i>spouse</i> to the child of <i>your spouse's parents</i>. ⊗ Sister-in-law is the female <i>spouse</i> to the child of <i>your spouse's parents</i>. ⊗ First cousin who is the child of <i>your spouse's aunt</i> or <i>uncle</i> as defined above. ⊗ Son-in-law, the male <i>spouse</i> to <i>your spouse's child</i>. ⊗ Daughter-in-law, the female <i>spouse</i> to <i>your spouse's child</i>. ⊗ Nephew is the male child of <i>your spouse's</i> brother or sister. ⊗ Niece is the female child of <i>your spouse's</i> brother or sister. ⊗ First cousin's child who is the child of <i>your spouse's first cousin</i> ⊗ Grandchild who is <i>your spouse's child's</i> child. ⊗ Great Grandchild who is <i>your spouse's grandchild's</i> child. These relationships must be in place when cover is applied for.



Accident	⤵ Accident means an external, violent, unexpected and visible event which directly results in death of a life assured within 14 days of the occurrence of the accident. The accident must happen at a place and time that is identifiable on or after the Cover Start Date.
Stillborn	⤵ This means a child being born dead after the 28th week of pregnancy. ⤵ The stillborn child must have been born to either the policyholder or the spouse of the policyholder, who must also be a Life Assured on the policy.



Write your own notes in the space provided below.....



Section 7: Skills Practice

Why practice the skill?

Practice is the act of rehearsing a behaviour or skill over and over, or engaging in an activity again and again, for the purpose of improving or mastering it. Just like sports teams practice in preparation for games, so to must you, so that you can perfect the skill before going out to see clients.

Practice takes time and perfections does not happen just one attempt. As the saying goes, “practice makes perfect.”

For the purpose of practice, we have prepared 2 activities for you to participate in.

The first activity is a group activity and the second is a role-play.

Group Activity

Read the instructions before you get started.



Complete the following activity...

- ④ Split into groups of 5.
- ④ Identify 3-5 important selling points / benefits of this product that you will explain to the client.
- ④ Share and consolidate all the group feedback so that you have a comprehensive list of selling points you can use in your role-play.



Write your own notes in the space provided below.....



Role Plays

The role-plays will consist of 3 learners who will act individually as the following participants:

- ⤵ The sales adviser
- ⤵ A client
- ⤵ An observer

The roles must be rotated to allow for each of the learners to act as the client, sales adviser and as an observer.

The learner acting as the adviser needs to do the following:

- ⤵ Introduce yourself and do the required disclosures;
- ⤵ Explain the purpose of the interview;
- ⤵ Conduct a needs analysis;
- ⤵ Make a recommendation and calculate the premium;
- ⤵ Explain the features and benefits of the recommended product;
- ⤵ Close the sale.

The learner acting as the client needs to do the following:

- ⤵ Engage with the adviser;
- ⤵ Ask relevant and necessary questions.

The learner acting as the observer needs to do the following:

- ⤵ Complete the observer checklist making notes of areas for improvement and areas that were handled well.

**Note to facilitator:**

The debriefing of the role-plays should be in the following order to allow the learner / 'adviser' time to digest the feedback and remember what to do differently in the 'real life' situation when faced with a real client.

At the end of the role-play the feedback should be as follows:

1. The observer must ask the learner / adviser:
 - ⊗ How do you feel about how you interacted with the client with this product?
 - ⊗ What do you feel you did well?
 - ⊗ What do you feel you could improve in selling this product?
2. The observer must ask the 'learner client':
 - ⊗ What did the learner do well?
 - ⊗ What do you think they could do differently to improve the client experience on this product so that the client buys the product / covers more lives / takes a higher cover level?
3. The observer completes the feedback Selling Skills checklist **IN DETAIL** as the role play starts and then reads out their feedback to the learner / adviser to help them improve their skills in selling this product.
 - ⊗ Use the rating scale to evaluate the role-play.

The observer must complete the Selling Skills Checklist considering the points below:

Sales Cycle

Rate the stages in the sales cycle according to:

- ⊗ Opening
- ⊗ Probing
- ⊗ Supporting
- ⊗ Closing

Rate each **phase** in the cycle and not each question on its own.

Rating scale

- 1 = no skill,
- 2 = some selling skills displayed,
- 3 = good display of selling skills,
- 4 = very good display of selling skills,
- 5 = excellent display of selling skills.



Use this space to reflect before you start with your role play.



Role play 1

Client:

Mrs Abongile Ndongeni is a 55 year old widow. She works at the local municipality as a tea lady. She is also the sole breadwinner in the family and the legal guardian of her three grandchildren aged 12, 15 and 17 respectively.

Mrs Ndongeni is concerned that when she dies she does not have any funeral cover for her or her grandchildren. She cannot afford a huge premium but requires basic funeral cover for a decent burial.

Adviser:

Conduct a needs analysis based on the details for Mrs Ndongeni who is a 55 year old widow looking after her three grandchildren. She is interested in a basic funeral policy.

Conduct the first meeting with the client to establish the need, propose the most suitable product to the need and close the sale.



Selling Skills Checklist

Sales Process	Rating 1 – 5	What the learner said	What should be done differently to improve selling this product?
Opening: Approaching the client Introductions Creating a relaxed atmosphere Purpose of meeting What is your service that you can offer?			
Probing: How were the clients financial needs established? What questions were asked? Focus on what and when questions. Check for the amount of time spent probing. Should be the most time.			
Supporting: How were the product benefits explained? How were objections handled i.e. when the client said 'no'?			



Closing: How were the key needs summarised? Did the adviser ask the client if he/she had further questions? What was the agreement and how was that confirmed? Was there an agreement of a follow up meeting even if there was a sale? What was done to ensure a long term relationship? Did the client receive product marketing pamphlets?			
--	--	--	--



Role play 2

Client:

Mrs Vuyiswa Malukazi is 49 years old and is employed at the Department of Health. She is married and has two children aged 27 and 29.

Mrs Malukazi would like funeral cover for her and her family. She explains that money is not a concern and that she would like the highest cover available. She also wants to save for a holiday that she wants to go on when she turns 60 years old.

Both of Mrs Malukazi's parents live with her. She would like funeral cover for her parents and her brother who is currently unemployed.

Mrs Malukazi is a very traditional woman who would like to ensure that the family traditions of erecting a tombstone are done on the same day as that of the funeral. This is very important to her and she hopes that the policy she takes has a benefit that caters to this need.

Adviser:

Conduct a needs analysis based on the details for Mrs Malukazi who is a 49 year old married person with two children. She is interested in funeral cover for her family as well as for both her parents and her unemployed brother.

Conduct the first meeting with the client to establish the need, propose the most suitable product to the need and close the sale.



Selling Skills Checklist

Sales Process	Rating 1 – 5	What the learner said	What should be done differently to improve selling this product?
Opening: Approaching the client Introductions Creating a relaxed atmosphere Purpose of meeting What is your service that you can offer?			
Probing: How were the clients financial needs established? What questions were asked? Focus on what and when questions. Check for the amount of time spent probing. Should be the most time.			
Supporting: How were the product benefits explained? How were objections handled i.e. when the client said 'no'?			



Closing: How were the key needs summarised? Did the adviser ask the client if he/she had further questions? What was the agreement and how was that confirmed? Was there an agreement of a follow up meeting even if there was a sale? What was done to ensure a long term relationship? Did the client receive product marketing pamphlets?			
--	--	--	--



Role play 3

Client:

Jackie Tshotyama is a 35 year old successful businessman. He frequently travels for business reasons. He is married to Susan Tshotyama who is a stay at home mom looking after their three children aged 5, 10 and 15.

Mr Tshotyama is interested in a funeral policy that will give him peace of mind that his family will be taken care of should he die or become physically impaired.

He does not want to pay premiums on his policy after he retires but still wants to enjoy the benefits on the policy. He wants to enjoy all of his money when he retires at age 65.

Mr Tshotyama has an existing policy with Sanlam and is covered for R40 000.

Adviser:

Conduct a needs analysis based on the details for Mr Tshotyama who is a 35 year old married, successful businessman with three children. He is interested in a funeral policy for himself and his family.

Conduct the first meeting with the client to establish the need, propose the most suitable product to the need and close the sale.



Selling Skills Checklist

Sales Process	Rating 1 – 5	What the learner said	What should be done differently to improve selling this product?
Opening: Approaching the client Introductions Creating a relaxed atmosphere Purpose of meeting What is your service that you can offer?			
Probing: How were the clients financial needs established? What questions were asked? Focus on what and when questions. Check for the amount of time spent probing. Should be the most time.			
Supporting: How were the product benefits explained? How were objections handled i.e. when the client said 'no'?			



Closing: How were the key needs summarised? Did the adviser ask the client if he/she had further questions? What was the agreement and how was that confirmed? Was there an agreement of a follow up meeting even if there was a sale? What was done to ensure a long term relationship? Did the client receive product marketing pamphlets?			
--	--	--	--



Role play 4

Client:

Mr Dumisani Khanyile is a 40 year old office clerk who lives with his wife Precious and their two children Owethu aged 9, and Qiniso aged 14. Precious met with a tragic accident one year ago that left her confined to a wheelchair. She cannot work and the family depends on Mr Khanyile's income.

Dumisani is concerned about the fact that he has no funeral cover for his family. He would really like a product that would give him peace of mind that his family will be taken care of, should he die. His family would struggle financially if he was to die and he always thinks of how they would manage with the day-to-day expenses and food costs.

Adviser:

Conduct a needs analysis based on the details for Mr Khanyile who is a 40 year old married man with two children. He is interested in a funeral policy for himself and his family.

Conduct the first meeting with the client to establish the need, propose the most suitable product to the need and close the sale.



Selling Skills Checklist

Sales Process	Rating 1 – 5	What the learner said	What should be done differently to improve selling this product?
Opening: Approaching the client Introductions Creating a relaxed atmosphere Purpose of meeting What is your service that you can offer?			
Probing: How were the clients financial needs established? What questions were asked? Focus on what and when questions. Check for the amount of time spent probing. Should be the most time.			
Supporting: How were the product benefits explained? How were objections handled i.e. when the client said 'no'?			

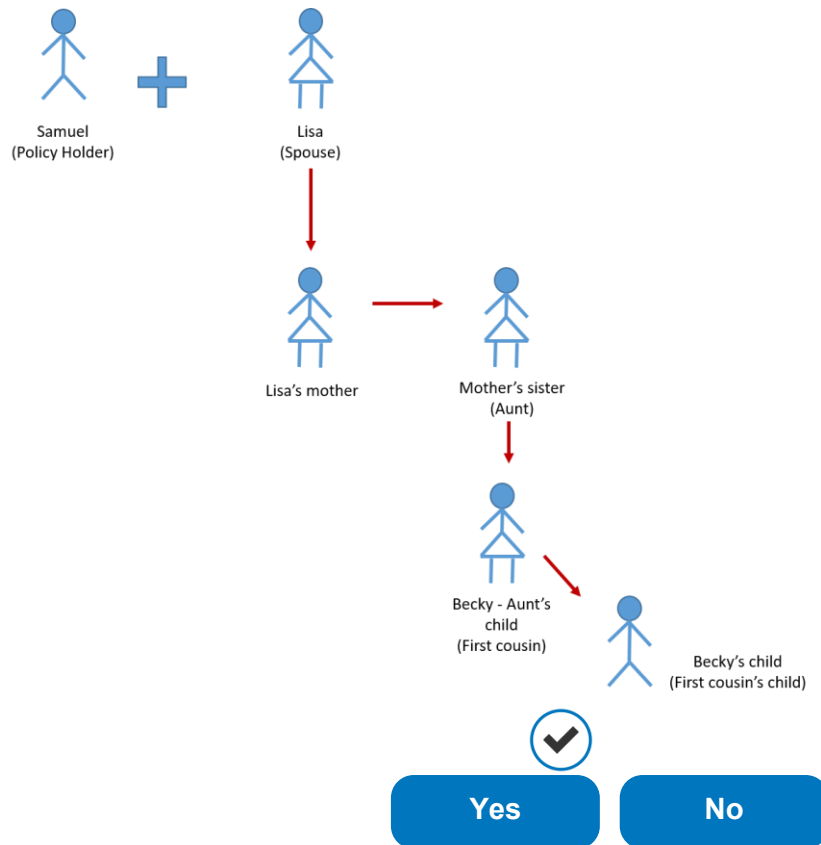


Closing: How were the key needs summarised? Did the adviser ask the client if he/she had further questions? What was the agreement and how was that confirmed? Was there an agreement of a follow up meeting even if there was a sale? What was done to ensure a long term relationship? Did the client receive product marketing pamphlets?			
--	--	--	--

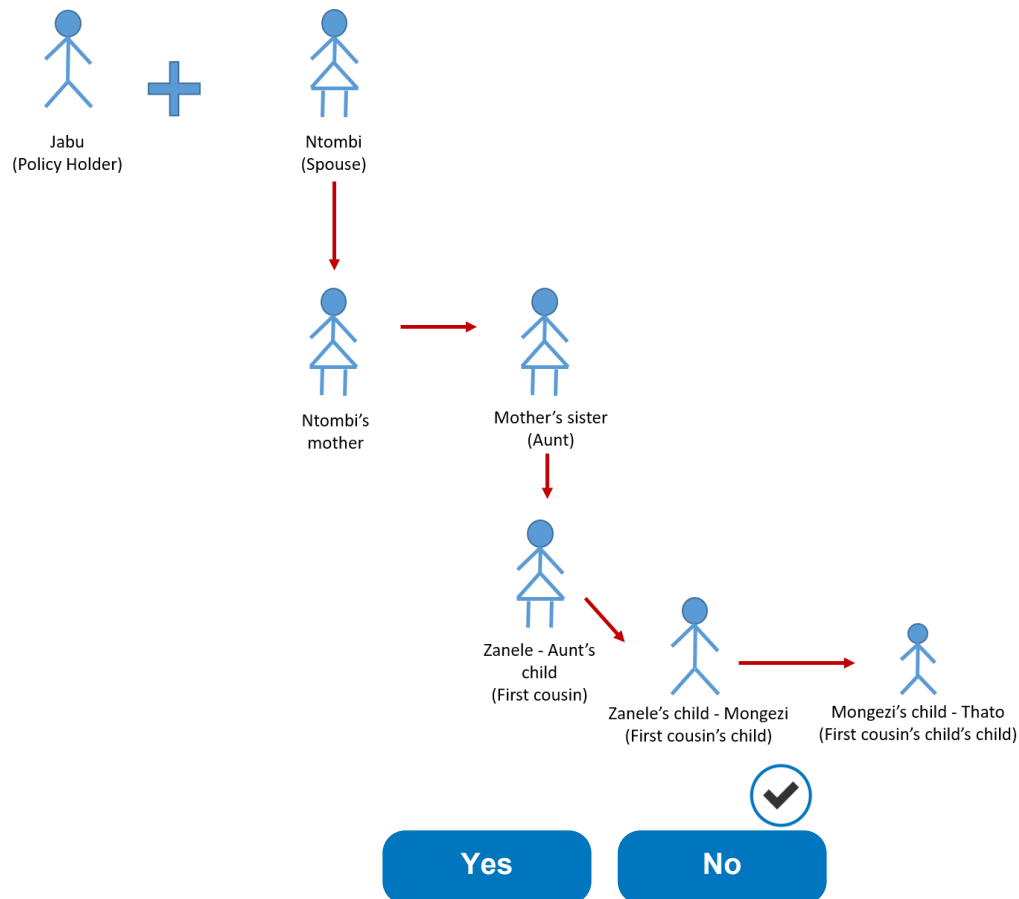
Solutions

Knowledge Check – 1

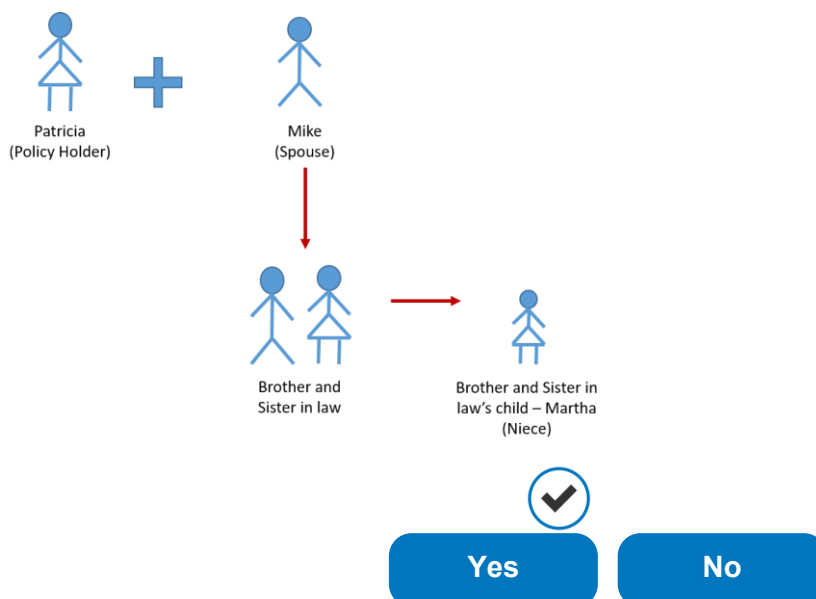
Scenario 1:



This child meets the definition namely: **First cousin's child who is the child of the spouse's first cousin** and can therefore be covered under Wider Family.

**Scenario 2:**

Thato is the child of Zanele's cousin's child and therefore **cannot** be covered as this relationship is not included in the Wider Family definition.

Scenario 3:

Prudence meets the definition namely: **Niece, who is the daughter of the spouse's brother, brother-in-law; sister or sister-in-law** and can therefore, be covered under the Wider Family.



Knowledge Check – 2

1. Select the minimum and maximum amount level that is applicable to the Principal Life Assured and spouse.
 - a. R5 000 and R100 000
 - b. R5 000 and R30 000

2. Select the statement that is correct.
 - a. The Principal Life Assured, policyholder and premium payer can be different on the policy.
 - b. Only 1 spouse claim will be paid over the life of the policy.
 - c. There can be 8 children, 8 parents and 8 wider family members covered at any one time.



Knowledge Check – 3

Funeral Cover

1. There is a 6 month qualifying period for **non-accidental** causes of death.
2. The Stillbirth benefit is applicable to the **policyholder** or the **spouse** of the policyholder if they are covered on the policy.

Premium Paid-up

1. In order to qualify for the feature, premiums must have been paid for **15 years**.
2. In order to qualify for the feature the Principal Life Assured, spouse and child must be **75 years** old.

Knowledge Check – 4

Description	Feature/benefit
1.	C
2.	D
3.	E
4.	B
5.	A



Section 8: Frequently Asked Questions

No.	Question	Response
	Can a child be covered in the Child category if they are over the maximum entry age for the category?	No, the child cannot be covered in the Child category but they can be covered in the Wider Family category or they can take out their own policy.
	When must the policyholder advise Sanlam of their intention to cancel the Escalations on the policy?	The policyholder must advise Sanlam of their intention to cancel the Escalations three months before the policy anniversary which is the point when the Escalation will apply.
	If a life assured dies as a result of non-accidental causes within the qualifying period will Sanlam refund the premiums for that life assured?	No, the Value Funeral Plan is a risk policy and premiums will not be refunded for the period that premiums were paid. However the overall premium will be reduced by the premium being paid for the deceased life assured.
	Foreigners - if the policyholder is a foreigner with a work permit and passport, can they enjoy cover whilst employed in South Africa?	Yes, they will be covered. If they move and then live permanently in a foreign country then they will not be covered and will need to cancel the policy
	How do maximum covers work on the policy?	In terms of the policy, the following cover limits apply. The maximum cover amount that any one life assured will have is as follows: ⤵ R100 000 for the Principal Life Assured and spouse covered in terms of the spouse category. ⤵ R50 000 for a parent and wider family members ⤵ R20 000 before a child's 6th birthday ⤵ R50 000 when a child is between their 6th and 14th birthday



Version 1.0

This learning module was developed in **December 2021**.

Series:	Sanlam Funeral Plans
Product name:	Value Funeral Plans

E-mail: Producthelp@sanlamsky.co.za

DISCLAIMER

Although Learning and Development has taken care to ensure the accuracy of information contained in this manual, we take no responsibility for intern changes not yet reflecting in this document.



In our efforts to constantly improve our service to our clients we will appreciate your feedback. The evaluation consists of 12 questions and will only take a few minutes of your time.

- Course material
- Trainer
- Impact on trainee

Page 62

